BetMakers Technology Group (: BET.AX)

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Q1 FY2027 Earnings — Analyst Brief · Released 29 Oct 2026 · Currency AUD (A$), unaudited; USD equivalents in parentheses at AUD/USD 0.704 (29 Oct 2026). Tables in A$ millions unless stated.

Shares −2.3% to A$0.21 (~$0.15) on 29 Oct 2026 per Stocklight (secondary source); the stock has held a A$0.21–0.22 band since the 10 Aug SID, ~12.5% below Tabcorp's A$0.24 cash offer. 52-week range A$0.135–0.25.

THE ONE-LINE VERDICT

A clean quarter on the metrics that matter for a B2B supplier: record Adj. EBITDA of A$5.9m (~$4.1m) at a 23.8% margin on revenue of A$24.7m (~$17.4m), +16.3% YoY in constant currency (+11.8% reported), with opex down 2.4% YoY and the 70% gross-margin / 25% EBITDA-margin long-term goals now one quarter away. But the equity is a merger-arb instrument, not a growth stock: Tabcorp's A$0.24 cash scheme caps the upside, the shares sit ~12% below the offer at A$0.21, and the beat mostly sharpens the question of whether the board recommended a sale at the bottom of the margin curve.

REVENUE (Q1 FY27)	ADJ. EBITDA (NON-IFRS)	ADJ. EBITDA MARGIN	GROSS MARGIN	OPERATING CASH FLOW (4C)	UNRESTRICTED CASH (NO DEBT)
A$24.7m (~$17.4m)	**A$5.9m (~$4.1m)**	**23.8%**	**69.1%**	**A$2.8m (~$2.0m)**	**A$16.0m (~$11.3m)**
+16.3% YoY CC (+11.8% reported); +2.1% QoQ	+176% YoY CC (~+145% reported); +31% QoQ	+1,380bps YoY; +530bps QoQ	+520bps YoY; +60bps QoQ	vs −A$1.2m PCP; −A$0.4m QoQ; after US$2.0m Monmouth MG	+A$0.4m QoQ; zero borrowings

1 EXECUTIVE SUMMARY

- **Record quarter with no consensus to beat.** Q1 FY27 (quarter to 30 Sep 2026) revenue A$24.7m (~$17.4m), +16.3% YoY constant currency and +2.1% QoQ; Adj. EBITDA A$5.9m (~$4.1m), +176.1% CC, a record; margin 23.8%. There is no sell-side consensus for this ASX micro-cap, so the 'beat' is against the company's own trajectory (Q4 FY26: 18.5% margin) and its long-term targets.
- **Headline growth is constant-currency; reported growth is lower.** Q1 FY26 as originally reported was A$22.1m revenue / A$2.4m Adj. EBITDA (11.0% margin, 64.7% GM). Restating the PCP at Q1 FY27 average rates (AUD/USD 0.7060, AUD/EUR 0.6134, AUD/GBP 0.5250) cut it to A$21.2m / A$2.1m. On a reported basis revenue grew ~11.8% and Adj. EBITDA ~145%. Still strong, but roughly 450bps of the headline revenue growth rate is FX restatement from a stronger AUD.
- **Operating leverage: >100% drop-through.** Incremental revenue of A$3.45m converted into A$3.75m of incremental Adj. EBITDA. Total opex fell to A$11.2m (~$7.9m) from A$11.4m (−2.4%) despite absorbing GT Vegas (ex-LVDC) operating costs that were not in the PCP; overheads −11.4% to A$2.6m, staff costs flat at A$8.5m net of capitalisation.
- **Capitalisation flatters the margin.** Capitalised staff costs rose 43% to A$2.03m (~$1.4m), 8.2% of revenue, from A$1.42m. Expensing them would give Adj. EBITDA of ~A$3.9m and a ~15.6% margin (our calculation). The A$0.6m YoY increase in capitalisation alone explains ~16% of the A$3.75m EBITDA improvement.
- **Gross margin 69.1% (+520bps YoY, +60bps QoQ).** COGS was flat at A$7.6m on 16% more revenue, so gross profit rose 25.6% to A$17.1m (~$12.0m). Management attributes this to digital revenues carrying high incremental margin plus cloud/cost efficiencies in Global Tote. The 70% long-term goal is effectively reached already (Q4 FY26 was 69.8% ex A$0.3m of prior-quarter COGS).
- **No guidance change — long-term goals reaffirmed, no FY27 numbers.** The targets set on 28 Aug 2025 (10%+ annual revenue growth, 70%+ gross margin, 25%+ Adj. EBITDA margin over 3–5 years) are restated unchanged. Q1 delivered 16.3% / 69.1% / 23.8%. The only forward comment is the CEO's FY26-results remark that 1H FY27 should continue to demonstrate the upgraded technology and product suite.
- **Division driver: Global Betting Services (digital).** The quarterly report does not split the two reportable segments; growth is attributed to 'expansion of the digital customer base', i.e. Apollo-driven GBS. FY26 context: GBS revenue A$43.3m (~$30.5m), +25.5%; Global Tote A$49.3m (~$34.7m), −2.6% reported / +1.1% CC with churn acknowledged. The mix shift to digital is the margin engine; Tote is ex-growth.
- **Event engagement quantified only qualitatively.** Apollo recorded 'record levels of wagering activity' in the quarter and, post quarter-end on 17 Oct 2026, its highest-ever traffic on Caulfield Cup / The Everest Day with performance maintained. No handle, actives or ARPU are disclosed (B2B supplier). The bulk of the Spring Carnival (Cox Plate, Melbourne Cup) falls in Q2 FY27.
- **Cash: positive OCF of A$2.8m (~$2.0m) after the annual US$2.0m Monmouth Park minimum guarantee.** Receipts from customers A$25.9m (~$18.2m). OCF compares with −A$1.2m in Q1 FY26 and A$3.2m in Q4 FY26 (which had no MG payment). Unrestricted cash A$16.0m (~$11.3m), +A$0.4m QoQ; total cash A$39.3m (~$27.7m) including A$23.4m (~$16.5m) of restricted customer funds (Global Tote Hub/ADW). Zero borrowings, no facilities.
- **Free cash flow is thin once development spend is counted.** Payments for intellectual property A$2.25m plus A$0.21m PP&E (BetLine US betting terminals) leave FCF of ~A$0.4m (~$0.3m, our calculation), excluding the +A$1.24m customer-funds movement booked in investing. 'Consistent free cash flow generation' remains a stated aspiration, not an achievement.
- **Tabcorp scheme on track for Q3 FY27 implementation.** SID signed 10 Aug 2026: A$0.24 (~$0.17) cash per share, with an election for up to 25% of total consideration in Tabcorp scrip priced at the higher of A$1.00 or 5-day VWAP; implied EV ~A$267m (~$188m), equity ~A$283m (~$199m) fully diluted; 45.5% premium to the pre-announcement close. Conditions: ACCC clearance, gaming/racing regulatory consents, Independent Expert's report, shareholder and court approvals; A$2.83m reciprocal break fees. Board unanimous; directors hold ~10%. Scheme booklet due late CY26, meeting targeted for Dec 2026.
- **The offer looks increasingly light against the new run-rate.** EV A$267m equates to ~11.4x Q1 FY27 annualised Adj. EBITDA (A$23.5m,

~$16.5m; company's own annualisation, seasonality-unadjusted) versus ~19x the LTM Jun-26 EBITDA of A$14.0m at signing. Tabcorp's cited 6.1x multiple includes the full A$30m (~$21m) synergy run-rate. The IER's conclusion is now a live swing factor; the market prices the shares at A$0.21, a ~12.5% discount to the offer.

- **LTIP Tranche 2 vests — 41.9m performance rights.** The EBITDA limb was met: six-month EBITDA to 30 Sep 2026 of A$10.4m (A$20.8m run-rate vs A$20.0m hurdle) and 12-month EBITDA of A$17.1m (vs A$15.0m). The six-month figure equals Q4 FY26 + Q1 FY27 Adjusted EBITDA (A$4.5m + A$5.9m), i.e. the test is effectively on the non-IFRS adjusted measure. ~3.7% dilution on ~1.12bn shares; worth ~A$10.1m (~$7.1m) at the offer price. This follows 4.825m FY23 Tranche 3 rights vesting in August (2.5m to Executive Chair Matt Davey).
- **Cost transformation: the heavy lifting is done; AI is the next lever.** No new program. FY25 restructuring took FY26 opex to A$49.4m (53.3% of revenue vs 61.7% in FY25); Q1 FY27 annualises at ~A$44.7m. Management is embedding AI tools across engineering, product and operations for productivity. Under Tabcorp ownership, A$30m of run-rate cost synergies by end of Year 2 are targeted, mostly from Tabcorp's side (data centres, corporate applications, legacy-platform replacement).
- **Product pipeline.** Parimutuel-powered 'reveal games' (commercial agreements with Bragg Gaming Group and Dreamstreak signed in Q4 FY26) targeted for go-to-market in Q3 FY27 — a new content vertical. BetLine terminals for US on-track/in-venue use are being built. New Apollo customers in FY26 included the CrownBet relaunch (Q3) and Stake.com and Dafabet.com.au (Q4).
- **Non-IFRS adjustments are small but will grow.** Add-backs of A$0.5m (deal costs A$0.4m, bad debts A$0.1m, severance A$0.1m) take EBITDA to A$5.4m (~$3.8m), +166%. Scheme-related costs (booklet, IER, advisers) will escalate in Q2/Q3 FY27; they are excluded from Adj. EBITDA but will hit cash.
- **Below-the-line is not disclosed quarterly.** The 4C format stops at EBITDA; no net income or EPS. FY26 NLAT was A$(5.2)m (~$(3.7)m) after D&A of A$15.5m and a A$1.5m tax benefit. With D&A running ~A$3.9m/quarter, Q1 FY27 EBITDA of A$5.4m implies the first positive EBIT quarter (~A$1.5m, our unaudited estimate).
- **Thesis read-through.** Operationally BetMakers is now a ~24%-margin, net-cash, double-digit-growth racing-technology asset — the turnaround management promised. But with the SID signed, equity value is capped at A$0.24 absent a superior proposal; the quarter raises the bar for the Independent Expert, de-risks Tabcorp's EPS-accretion case, and makes the ~12.5% scheme spread the only trade that matters for holders.
- **Share price.** −2.3% to A$0.21 (~$0.15) on 29 Oct 2026 per Stocklight (secondary source); the stock has traded in a A$0.21–0.22 band since the SID. 52-week range A$0.135–0.25.

2 GROUP FINANCIAL SUMMARY

A$M (USD AT 0.704), CC = CONSTANT CURRENCY, UNAUDITED	Q1 FY27	Q4 FY26	QOQ	Q1 FY26 (CC)	YOY	FY26 (REF.)
REVENUE						
Group revenue	**A$24.7m (~$17.4m)**	**A$24.2m (~$17.0m)**	**+2.1%**	**A$21.2m (~$15.0m); as reported A$22.1m**	**+16.3% CC / +11.8% reported**	**A$92.6m (~$65.2m); +8.8% rep. / +11.2% CC**
Global Betting Services (digital, fixed odds, content)	n/d	n/d	n/d	n/d	n/d	A$43.3m (~$30.5m); +25.5% vs A$34.5m
Global Tote	n/d	n/d	n/d	n/d	n/d	A$49.3m (~$34.7m); −2.6% rep. / +1.1% CC vs A$50.6m
REVENUE BY PRODUCT (FY26 MIX; NOT DISCLOSED QUARTERLY)						
Tote products	n/d	n/d	n/d	n/d	n/d	48.1% of revenue
Digital (platform / fixed odds)	n/d	n/d	n/d	n/d	n/d	37.1% of revenue
Content & data	n/d	n/d	n/d	n/d	n/d	14.8% of revenue
P&L (CC BASIS PER COMPANY)						
COGS	A$7.6m (~$5.4m)	n/d	n/d	A$7.7m (~$5.4m)	−0.4%	A$31.9m (~$22.5m) (derived)
Gross profit	A$17.1m (~$12.0m)	~A$16.6m (derived)	~+3%	A$13.6m (~$9.6m)	+25.6%	A$60.7m (~$42.7m); +11.4%
Gross margin	69.1%	68.5% (69.8% ex A$0.3m prior-qtr COGS)	+60bps	63.9% (as reported 64.7%)	+520bps	65.5% (66.9% adj. for A$1.3m inventory write-off)
Staff costs (net of capitalisation)	A$8.5m (~$6.0m)	n/d	n/d	A$8.5m (~$6.0m)	+0.8%	n/d
Overheads	A$2.6m (~$1.8m)	n/d	n/d	A$3.0m (~$2.1m)	−11.4%	n/d
Total operating expenses	A$11.2m (~$7.9m)	A$12.1m (~$8.5m)	−7.7%	A$11.4m (~$8.1m)	−2.4%	A$49.4m (~$34.8m); −6.0%
Adj. EBITDA (non-IFRS)	**A$5.9m (~$4.1m)**	**A$4.5m (~$3.2m)**	**+31%**	**A$2.1m (~$1.5m); as reported A$2.4m**	**+176.1% CC / ~+145% reported**	**A$14.1m (~$9.9m); +205%**
Adj. EBITDA margin	23.8%	18.5%	+530bps	10.0% (as reported 11.0%)	+1,380bps	15.2%
Adjustments (deal costs / bad debts / severance)	A$0.5m (~$0.4m): 0.4 / 0.1 / 0.1	n/d	n/d	A$0.1m	n/m	A$5.0m (incl. A$1.3m inventory write-off)
EBITDA (unadjusted)	A$5.4m (~$3.8m)	n/d	n/d	A$2.0m (~$1.4m)	+166.2%	A$9.1m (~$6.4m); +406%
D&A	n/d (FY26 run-rate ~A$3.9m/qtr)	n/d	n/d	n/d	n/d	A$15.5m (~$10.9m)
Net profit/(loss) after tax (IFRS)	n/d — not reported in quarterly 4C	n/d	n/d	n/d	n/d	A$(5.2)m (~$(3.7)m) vs A$(25.3)m FY25
EPS — GAAP diluted / adjusted	n/a	n/a	n/a	n/a	n/a	n/a [not verified]
GROUP KPIS						
Avg monthly players / actives	n/a — B2B supplier, no player KPIs disclosed	n/a	n/a	n/a	n/a	n/a
Capitalised staff costs	A$2.03m (~$1.4m); 8.2% of revenue	A$1.9m (~$1.3m)	+7%	A$1.42m (~$1.0m)	+43%	A$7.3m (~$5.1m) vs A$6.7m FY25
Receipts from customers (4C)	A$25.9m (~$18.2m)	n/d	n/d	n/d	n/d	n/d
CASH FLOW & BALANCE SHEET						
Net operating cash flow (4C basis)	**A$2.8m (~$2.0m)**	**A$3.2m (~$2.3m)**	**−A$0.4m**	**A$(1.2)m (~$(0.9)m)**	**+A$4.0m**	**A$5.0m (~$3.5m); +A$2.2m**
Monmouth Park minimum guarantee (within OCF)	US$2.0m (A$2.0m)	nil	n/m	A$2.1m	−A$0.1m	annual, paid in Q1
Capitalised IP + PP&E (BetLine US terminals)	A$2.5m (~$1.7m): 2.25 + 0.21	n/d	n/d	n/d	n/d	n/d
Free cash flow (OCF − IP − PP&E; our calc)	~A$0.4m (~$0.3m)	n/d	n/d	n/d	n/d	n/d
Unrestricted cash	**A$16.0m (~$11.3m)**	**A$15.6m (~$11.0m)**	**+A$0.4m**	**n/d**	**n/d**	**A$15.6m at 30 Jun 26 (A$18.8m at 30 Jun 25)**
Restricted cash (customer funds, Global Tote Hub / ADW)	A$23.4m (~$16.5m)	n/d	n/d	n/d	n/d	n/d
Total cash & equivalents	A$39.3m (~$27.7m)	A$37.9m (~$26.7m)	+A$1.4m	n/d	n/d	A$37.9m (~$26.7m)
Borrowings / facilities	nil	nil	–	nil	–	nil

A$M (USD AT 0.704), CC = CONSTANT CURRENCY, UNAUDITED	Q1 FY27	Q4 FY26	QOQ	Q1 FY26 (CC)	YOY	FY26 (REF.)
Net cash (unrestricted) / leverage	A$16.0m net cash; leverage n/m	A$15.6m net cash	+A$0.4m	n/d	n/d	net cash, no debt

3 SEGMENT DEEP-DIVE — GLOBAL BETTING SERVICES (APOLLO DIGITAL PLATFORM, FIXED ODDS, CONTENT & DATA)

The growth engine: digital customer expansion delivered essentially all of the quarter's +A$3.5m revenue uplift and the mix-driven gross-margin gain, though the quarterly filing gives no segment split.

SEGMENT DISCLOSURE AND GROWTH ATTRIBUTION

Digital customer expansion is the stated driver of 16.3% constant-currency revenue growth to A$24.7m, though the Q1 FY27 report gives no segment split.

- 4C format stops at group EBITDA; the two reportable segments are only disclosed at half-year and full-year, so split cannot be verified until H1 FY27 accounts in February 2027.
- FY26 GBS revenue rose 25.5% to A$43.3m (~$30.5m) from A$34.5m, roughly 47% of group, while Global Tote was flat to down.
- If GBS sustained mid-20s growth in Q1 it would account for the whole ~A$3.5m YoY increase with Tote roughly flat, consistent with FY26.
- By product, FY26 revenue was 37.1% digital and 14.8% content and data, against 48.1% tote products.

> *"continues to be an expansion of the digital customer base"* — **Management**

VOLUMES AND CUSTOMER BASE

Apollo recorded record wagering activity and its highest-ever traffic on 17 October 2026, but no handle, actives, ARPU or margin unit economics are disclosed.

- Highest-ever traffic on Caulfield Cup / The Everest Day with platform performance maintained; this is the only event quantification offered.
- Revenue model is hybrid/variable and success-based rather than per-seat SaaS, so platform revenue scales with partner turnover; Q2 FY27 (Cox Plate, Melbourne Cup) is the seasonal peak.
- Customer base added CrownBet relaunch on Apollo in Q3 FY26 (exclusive five-year deal) and Stake.com and Dafabet.com.au in Q4 FY26; pipeline described as strong.
- Marketing spend is immaterial at A$38k of advertising in the 4C because distribution is through partner integrations.

US OPERATIONS

The US leg is visible mainly through cash, with the US$2.0m Monmouth Park minimum guarantee paid in the quarter and no profit-level disclosure.

- Annual Monmouth Park minimum guarantee for New Jersey fixed-odds racing was US$2.0m (A$2.0m) versus A$2.1m a year earlier; A$2.8m operating cash inflow is stated after it.
- This is effectively a rights cost the company must fund regardless of NJ handle.
- GT Vegas (Las Vegas Dissemination Company, acquired February 2026) added operating costs with no prior-period comparison.
- A$0.21m of PP&E went into new BetLine betting terminals and other US on-track and in-venue hardware.
- We cannot see whether US businesses are contributing or consuming EBITDA; we treat NJ fixed-odds economics as unproven until handle disclosure.

GROSS MARGIN AND CAPITALISATION

Gross margin rose 520bps to 69.1% with COGS flat at A$7.6m, but rising capitalised development costs somewhat flatter the reported leverage.

- Management states digital revenues continue to deliver incremental gross margin; Apollo carries near-zero marginal cost per bet.
- Capitalised staff costs rose 43% to A$2.03m (8.2% of revenue); the CFO said this reflected investment in new products, including emerging gaming and vision technology for international markets.
- On our arithmetic the A$0.6m YoY rise in capitalisation is worth about 2.5 points of the 13.8-point margin expansion; leverage is real but somewhat flattered.

PIPELINE AND TABCORP RISK

Reveal games with Bragg Gaming Group and Dreamstreak are guided to Q3 FY27 go-to-market, but Tabcorp ownership raises an unaddressed counterparty concentration risk.

- Parimutuel-powered reveal games would be a new, casino-adjacent content vertical; agreements were announced with the Q4 FY26 report.
- Continued Apollo and Global Tote feature development and AI tooling across engineering.
- Under the Tabcorp scheme Apollo is the asset being bought; Tabcorp intends to replace legacy platforms with BetMakers' products and run the group as a global B2B engine.
- Third-party operators competing with TAB, the customers driving growth, must decide whether to keep core trading and pricing on a platform owned by their largest competitor.
- Management does not address this; it is a Year-2 question for Tabcorp but bears on durability of the current growth rate.

GBS — A$M (USD AT 0.704)	Q1 FY27	QOQ	YOY	FY26	FY26 YOY
Segment revenue	**n/d (not split quarterly)**	**n/d**	**n/d**	**A$43.3m (~$30.5m)**	**+25.5% (FY25 A$34.5m)**
Group revenue (reference)	A$24.7m (~$17.4m)	+2.1%	+16.3% CC / +11.8% rep.	A$92.6m (~$65.2m)	+8.8% rep. / +11.2% CC
Digital share of group revenue	n/d	n/d	n/d	37.1%	n/d
Content & data share of group revenue	n/d	n/d	n/d	14.8%	n/d
Segment EBITDA / margin	n/d	n/d	n/d	n/d	n/d
Capitalised staff costs (group; mostly product dev.)	A$2.03m (~$1.4m); 8.2% of rev.	+7% (Q4: A$1.9m)	+43% (Q1 FY26: A$1.42m)	A$7.3m (~$5.1m)	+9% (FY25 A$6.7m)
Monmouth Park NJ fixed-odds minimum guarantee	US$2.0m (A$2.0m)	n/m (annual, Q1)	vs A$2.1m	annual	–
PP&E — BetLine US terminals / in-venue hardware	A$0.21m (~$0.15m)	n/d	n/d	n/d	n/d
Advertising & marketing (4C)	A$0.04m (0.2% of rev.)	n/d	n/d	n/d	n/d
Handle / actives / ARPU / promo % handle	n/a (B2B; not disclosed)	n/a	n/a	n/a	n/a
Platform events	Apollo record activity; highest-ever traffic Caulfield Cup/Everest Day (17 Oct, post-qtr)	Stake.com, Dafabet.com.au live (Q4 FY26)	CrownBet relaunch (Q3 FY26)	–	–
Reveal games (Bragg, Dreamstreak)	In development; GTM Q3 FY27	agreements signed Q4 FY26	–	–	–

4 SEGMENT DEEP-DIVE — GLOBAL TOTE (TOTE PRODUCTS, GLOBAL TOTE HUB POOL CONNECTIVITY, ADW OPERATIONS)

> **The larger but ex-growth half: FY26 revenue −2.6% reported (+1.1% CC) with churn; its Q1 contribution was cost efficiency and gross-margin support, not top-line growth.**

REVENUE RUN-RATE

No Q1 figures were given; FY26 revenue of A$49.3m fell 2.6% reported (+1.1% constant currency) with churn, making this the larger but ex-growth segment.

- FY26 revenue A$49.3m (~$34.7m) versus A$50.6m in FY25; management acknowledged customer churn and FX headwinds.
- Tote products were 48.1% of FY26 group revenue but contributed none of the growth; roughly a ~A$12m-a-quarter business growing at low single digits at best.
- Every Q1 growth reference is to the digital customer base; Global Tote appears only in feature development and 'cloud and cost efficiencies' context.

COST EFFICIENCY

Cloud migration and lower hosting costs are one of two drivers of the 520bps gross-margin gain to 69.1%, a durable structural improvement.

- Group COGS was flat at A$7.6m on 16% higher revenue.
- Management explicitly credits Global Tote's migration to cloud infrastructure alongside digital mix.
- For a tote-hosting business where cost is largely infrastructure and pool-connectivity, this is structural rather than one-off.
- This is how a flat-revenue segment still contributes toward the 70% group gross-margin goal.

CUSTOMER FUNDS AND LIQUIDITY

Customer funds on deposit explain A$23.4m of restricted cash within A$39.3m total; relevant liquidity is unrestricted cash of A$16.0m with no debt.

- Total cash A$39.3m (~$27.7m) includes A$23.4m (~$16.5m) restricted cash held by Global Tote Hub and ADW operations.
- The 4C's +A$1.24m 'other investing' inflow is simply the movement in customer balances.
- CFO noted the statutory cash-flow statement is distorted by customer-funds movements and prefers the 4C operating-cash-flow definition; we agree.
- We strip restricted cash out entirely: unrestricted cash of A$16.0m (~$11.3m), no debt.

CURRENCY AND OUTLOOK

AUD appreciation of roughly 7–8% hit this segment's foreign-currency revenue, so reported Q1 FY27 Tote revenue was more likely down than flat.

- Business bills in USD, GBP and EUR; Q1 FY26 comparative restated from A$22.1m to A$21.2m at this quarter's average rates (AUD/USD 0.7060).
- The translation hit is largely on this segment; H1 FY27 accounts will confirm.
- Under the Tabcorp scheme the segment is positioned as the global B2B growth engine for international pool connectivity.
- FY26 track record is of a business needing new pool partners simply to hold revenue; churn in the base is the number to watch in February.

GLOBAL TOTE — A$M (USD AT 0.704)	Q1 FY27	QOQ	YOY	FY26	FY26 YOY
Segment revenue	**n/d (not split quarterly)**	**n/d**	**n/d**	**A$49.3m (~$34.7m)**	**−2.6% rep. / +1.1% CC (FY25 A$50.6m)**
Tote products share of group revenue	n/d	n/d	n/d	48.1%	n/d
Segment EBITDA / margin	n/d	n/d	n/d	n/d	n/d
Group COGS (reference)	A$7.6m (~$5.4m)	n/d	−0.4%	A$31.9m (derived)	n/d
Group gross margin (reference)	69.1%	+60bps	+520bps	65.5% (66.9% adj.)	+140bps
Restricted cash — customer funds (Tote Hub / ADW)	A$23.4m (~$16.5m)	n/d	n/d	n/d	n/d
Customer-funds movement (4C investing item 2.5)	+A$1.24m (~$0.9m)	n/d	n/d	n/d	n/d
Customer churn	not commented	–	–	acknowledged in FY26	–
Pool handle / commissions / margin	n/a (not disclosed)	n/a	n/a	n/a	n/a
FX basis (AUD/USD avg)	0.7060	–	~+7–8% AUD appreciation (approx.)	0.6775	–

5 HIGHLIGHTS & LOWLIGHTS

▲ HIGHLIGHTS

- Fifth consecutive quarter of Adj. EBITDA margin expansion — 10.0% → 11.8% → 14.7% → 18.5% → 23.8% — with Q1 FY27 Adj. EBITDA of A$5.9m (~$4.1m) a record and the 25% long-term goal one quarter away. Annualised run-rate A$23.5m (~$16.5m) vs FY26 actual A$14.1m. structural
- Gross margin 69.1% (+520bps YoY, +60bps QoQ): COGS flat at A$7.6m on 16% more revenue, driven by digital mix and Global Tote cloud/cost efficiencies. The 70% goal is effectively met (Q4 FY26 was 69.8% ex prior-quarter COGS). structural
- Opex down 2.4% YoY to A$11.2m (~$7.9m) and down 7.7% QoQ, while absorbing GT Vegas operating costs absent from the PCP; overheads −11.4% to A$2.6m. Incremental revenue of A$3.45m converted to A$3.75m of Adj. EBITDA. structural
- Positive operating cash flow of A$2.8m (~$2.0m) after the US$2.0m Monmouth Park minimum guarantee; unrestricted cash +A$0.4m QoQ to A$16.0m (~$11.3m) with zero debt and no facilities. structural
- Apollo delivered record wagering activity in the quarter and its highest-ever traffic on Caulfield Cup / Everest Day (17 Oct) without degradation — a credible operational read-across into the Q2 FY27 Spring Carnival peak and into Tabcorp's platform-replacement thesis. early
- The quarter re-rates the asset against the scheme: Tabcorp's A$267m EV is ~11.4x Q1 FY27 annualised Adj. EBITDA versus ~19x LTM EBITDA at signing — a stronger hand for holders and the Independent Expert, even if the offer price is fixed. mixed

▼ LOWLIGHTS

- The +16.3% headline is constant currency. Against the originally reported Q1 FY26 (A$22.1m revenue, A$2.4m Adj. EBITDA), growth is ~+11.8% and ~+145% respectively; ~450bps of the revenue growth rate is AUD-strength restatement of the comparative. mixed
- Capitalised staff costs +43% YoY to A$2.03m (8.2% of revenue). Adj. EBITDA ex-capitalisation would be ~A$3.9m at ~15.6% margin (our calc); A$0.6m of the A$3.75m YoY EBITDA improvement is simply more capitalisation. watch
- No segment disclosure quarterly. Global Tote — ~half of FY26 revenue — was −2.6% reported with churn acknowledged; the group's growth and margin story rests entirely on digital (GBS), whose Q1 contribution we cannot verify until February. structural
- LTIP Tranche 2 (41.9m performance rights, ~A$10.1m at the offer price) vests on an EBITDA test that, by the company's own numbers, equals Q4 FY26 + Q1 FY27 Adjusted EBITDA — a non-IFRS measure with add-backs — eleven weeks after the board recommended a sale at A$0.24. Combined with the 4.8m FY23 T3 rights (2.5m to the Executive Chair) vested in August, insider economics around the scheme deserve scrutiny in the scheme booklet. governance
- Free cash flow is only ~A$0.4m after A$2.25m of capitalised IP and A$0.21m of PP&E; the +A$1.24m 'investing' inflow is customer-funds movement, not cash generation. Consistent FCF remains an aspiration. watch
- Deal costs of A$0.4m were added back; scheme-booklet, IER and adviser costs will rise in Q2/Q3 FY27 and hit cash while staying outside Adj. EBITDA. one-off
- The shares closed at A$0.21, ~12.5% below the A$0.24 cash offer, a wide spread for a deal targeted to complete in Q3 FY27 — the market is pricing meaningful ACCC/regulatory or timing risk that management's 'on track' language does not address. watch

6 FORECAST & OUTLOOK

Guidance bridge. There is no numeric guidance to bridge. BetMakers reaffirmed, unchanged, the long-term goals set on 28 Aug 2025 — 10%+ annual revenue growth, 70%+ gross margin and a 25%+ Adj. EBITDA margin over three to five years — and the only forward statement is the CEO's FY26-results comment that 1H FY27 should continue to demonstrate the strength of the upgraded technology and product suite. The division driving delivery against those goals is Global Betting Services (Apollo/digital); Global Tote is a cost-efficiency and gross-margin contributor, not a growth driver. The parallel 'guidance' now comes from Tabcorp: A$30m of run-rate cost synergies by the end of Year 2, EPS accretion from Year 2 and double-digit accretion from Year 3, with scheme implementation targeted for Q3 FY27 subject to ACCC clearance, regulatory consents, the Independent Expert, and shareholder and court approvals.

LONG-TERM REVENUE GROWTH GOAL	LONG-TERM GROSS MARGIN GOAL	LONG-TERM ADJ. EBITDA MARGIN GOAL	TABCORP SCHEME
10%+ p.a. (unchanged)	**70%+ (unchanged)**	**25%+ (unchanged)**	**A$0.24 cash (≤25% scrip); Q3 FY27 completion (unchanged)**
Q1 FY27 delivered +16.3% CC / +11.8% reported	Q1 FY27 delivered 69.1%, +520bps YoY	Q1 FY27 delivered 23.8%, +1,380bps YoY	ACCC, regulatory consents, IER, shareholder & court approvals outstanding; booklet late CY26

Independent view. Our estimates (not company guidance). Q2 FY27 (Oct–Dec) is the Spring Carnival quarter and Apollo's record 17 Oct traffic suggests volume-linked digital revenue is running hot. Against a Q2 FY26 base of ~A$24.0m (derived: H1 FY26 A$46.1m less Q1 FY26 A$22.1m as reported) we model revenue of **A$26–27m (~$18.3–19.0m), +8–12% reported**, with constant-currency growth a few points higher if the AUD holds above 0.70. With opex held near A$11.5m and gross margin at 69–70%, that implies **Adj. EBITDA of A$6.0–6.5m (~$4.2–4.6m) at a 23–24% margin** — a 25%+ print is possible if capitalisation stays at ~A$2m. H1 FY27 would then be revenue ~A$51m (+10–11%) and Adj. EBITDA ~A$12m versus A$6.0m. For FY27 we pencil **revenue A$102–106m (+10–14%) and Adj. EBITDA A$23–26m (22.5–24.5% margin)**; reveal-games revenue from Q3 is upside we do not include. **Leverage** stays net cash: with OCF of ~A$3–4m a quarter in non-MG quarters against ~A$2.5m of capitalised development and rising scheme costs, unrestricted cash should drift up by ~A$1–2m a quarter to ~A$18–20m by June 2027 — unless the scheme completes first, in which case the balance sheet is Tabcorp's problem. **Swing factors:** AUD strength (reported growth will keep trailing CC), Global Tote churn, NJ fixed-odds economics under the US$2.0m MG, capitalisation policy, and above all ACCC timing. The quarter does not change the equity outcome — A$0.24 absent a superior proposal — but it raises the bar for the Independent Expert and lowers the probability that Tabcorp's bid is the last word if the ACCC process drags into the Spring Carnival print.

What to watch next quarter:

- ACCC clearance and the scheme booklet / Independent Expert's report (late CY26), scheme meeting (targeted Dec 2026) and Q3 FY27 implementation — the ~12.5% spread is the only equity trade.
- Q2 FY27 Appendix 4C (late Jan 2027): Spring Carnival digital volumes, gross margin crossing 70%, Adj. EBITDA margin vs the 25% goal, and opex discipline with GT Vegas fully in the base.
- Capitalised staff costs (A$2.03m, 8.2% of revenue) and free cash flow after IP spend — the quality-of-earnings test for the margin story.
- H1 FY27 accounts (Feb 2027): first segment split since FY26 — Global Tote revenue and churn vs GBS growth; statutory EBIT/NLAT after ~A$3.9m/qtr D&A.
- Reveal-games go-to-market in Q3 FY27 (Bragg Gaming, Dreamstreak) and any early revenue disclosure.
- FX: AUD/USD above 0.70 compresses reported growth from USD/GBP/EUR tote and US revenue; watch the CC vs reported gap.
- Scheme-related deal costs, LTIP conversion of 41.9m Tranche 2 rights ahead of the record date, and any third-party operator customer response to Tabcorp ownership of Apollo.

DATA CONFIDENCE: MEDIUM FX: AUD/USD 0.704 as of 29 Oct 2026 (FRED H.10 0.7039; Investing.com close 0.7030). Headline Q1 FY27 figures (revenue, COGS, GP, opex, Adj. EBITDA, EBITDA, OCF, cash, restricted cash, capitalisation, LTIP) are HIGH confidence — read directly from the ASX Appendix 4C / Quarterly Activities Report PDF (P&L table OCR'd) and the Q1 FY27 presentation, and cross-checked against Gaming.net, TheGamblest and SBC News. Q4 FY26 comparatives are from the company's Q4 FY26 presentation and FY26 release (HIGH). Segment revenue (GBS A$43.3m, Tote A$49.3m) and FY26 product mix are from Investing.com's summary of the FY26 results presentation and webinar transcript (secondary; consistent with the transcript's '+25%' and '+1.1% CC' statements) — MEDIUM. The share-price move (−2.3% to A$0.21) is from Stocklight (secondary) — MEDIUM. Not disclosed/unverified: quarterly net income, EPS, segment EBITDA, handle/actives (B2B); Q2 FY26 revenue (~A$24.0m) and FY26 COGS (A$31.9m) are derived. The Gaming Intelligence article (user-supplied) is paywalled beyond its headline. Constant-currency vs reported growth is flagged throughout because the company's headline growth rates restate the PCP.

Sources: [Primary] BetMakers — Appendix 4C and Quarterly Activities Report, Q1 FY27 (ASX, 29 Oct 2026) [PRIMARY]; [Primary] BetMakers — Q1 FY27 Quarterly Update Presentation (ASX, 29 Oct 2026) [PRIMARY]; [Primary] BetMakers — FY26 Results release 'BET delivers Revenue Growth and Margin Expansion in FY26' (ASX, 31 Aug 2026) [PRIMARY]; [Primary] BetMakers — Q4 FY26 Quarterly Update Presentation (ASX, 30 Jul 2026) [PRIMARY]; [Primary] Q1 FY27 Appendix 4C PDF (direct); [Secondary] TheGamblest — BetMakers posts 16.3% Q1 revenue growth in FY2027 (user-supplied); [Secondary] Gaming Intelligence — BetMakers posts revenue growth of 16% in fiscal first quarter (user-supplied; paywalled); [Secondary] Gaming.net — BetMakers Delivers Record Quarterly Adjusted EBITDA as Revenue Rises; [Secondary] SBC News — BetMakers opens FY27 with EBITDA up 176%; [Secondary] Investing.com — FY26 earnings call transcript (segment commentary, capitalisation, cash-flow definitions); [Secondary] Investing.com — BetMakers FY26 slides summary (segment revenue, product mix, cash); [Secondary] iGaming News Today — BetMakers Q4 FY26 results (Q4 comparatives, customer launches); [Secondary] Quartr — BetMakers Q1 FY26 trading update summary (as-reported PCP figures); [Secondary] iGaming Business — Tabcorp to acquire BetMakers in $267 million deal (SID terms); [Secondary] Gaming.net — Tabcorp Agrees Binding Deal to Acquire BetMakers (premium, multiples, timetable); [Secondary] Kalkine — Tabcorp SID announcement summary (break fees, scrip terms); [Secondary] Stocklight — ASX:BET price history (29 Oct 2026 move); [Secondary] FRED — U.S. Dollars to One Australian Dollar (DEXUSAL), 29 Oct 2026.

Research analysis only — not a rating, price target, or personalised investment advice. Prepared for internal executive review.